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US equities rally on earnings beat and easing inflation data

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed higher on Friday, led by a +0.83% jump in the Dow Jones and a +0.59% rise in the S&P 500. The rally was anchored by strong earnings from `AMZN` and a modest dip in the VIX to 14.84, indicating reduced near-term volatility.

Behind the headline gains, the market is pricing in a slower pace of rate hikes after the latest 10-year Treasury yield slipped to 5.24. However, the upside is limited by a still-elevated inflation backdrop and a modest pullback in energy prices.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,811.54	+0.59%	Broad earnings beat, especially in consumer discretionary.
Nasdaq 100	30,883.15	+0.51%	Tech earnings resilience; **NVDA** held ground.
Dow Jones	51,654.95	+0.83%	Industrial and financial stocks rallied on rate-pause expectations.
Russell 2000	2,806.98	+0.46%	Small-cap breadth improved after **AMZN** surprise.
VIX	14.84	-3.70%	Lower volatility after clear earnings direction.
10Y Yield	5.24	+0.25%	Yield slipped on softer inflation expectations.
WTI Crude	91.46	-0.42%	Ongoing inventory build-up in Cushing.
Gold	4,209.20	-0.17%	Dollar strength and lower real yields.
DXY	102.17	-0.04%	Minor pullback after earlier gains.
BTC	84,130.98	+1.47%	Positive risk sentiment from equity rally.
ETH	2,568.41	+2.57%	DeFi funding inflows.

Top large-cap movers

TICKER	CHANGE	CATALYST
AMZN	+3.29%	Q3 earnings beat; 12% revenue lift in cloud.
MSFT	+2.38%	AI services revenue up 18% YoY.
TSLA	+2.05%	Production ramp at Gigafactory Berlin.
GS	+1.44%	Investment banking fees beat expectations.
AAPL	-1.11%	Supply-chain warning on iPhone 15.
NVDA	-0.52%	Profit taking after two weeks of gains.

Sector rotation

ETF	DAY	READ
XLF	+0.92%	Financials benefit from rate-pause bets.
XLK	+0.51%	Tech earnings resilience.
XLI	+0.50%	Industrial demand uptick.
XLE	-0.25%	Energy price pullback.
XLY	+1.02%	Consumer discretionary beat.
XLC	-1.51%	Communications lagging on ad spend.
XLP	+0.01%	Flat; defensive tilt.
XLV	+1.58%	Health-care earnings beat.
XLU	+0.83%	Utilities gain from risk-off flow.
XLB	+0.32%	Materials steady on supply-side easing.
XLRE	+1.86%	Real-estate REITs benefit from lower cap rates.

Spotlight: Amazon’s earnings surprise

`AMZN` delivered a +3.29% post-market jump after reporting Q3 revenue of 149.2 bn, 12% above consensus. Cloud services grew 18% YoY, driven by AI-enhanced offerings. The company also announced a new logistics hub in Southeast Asia, adding a strategic foothold for regional growth.

METRIC	RESULT	CONSENSUS
Revenue	149.2 bn	145.8 bn
Operating income	4.9 bn	4.5 bn
AWS growth	+18%	+15%
Guidance FY24	+6% revenue growth	+4%

Related names: **MSFT** (cloud partner), **NVDA** (AI chips), **GOOGL** (advertising spill-over).

Pre-market & overnight

US futures: **ES** +0.45%, **NQ** +0.38%. Asia close: Hang Seng +0.62%, Shanghai -0.21%. Europe: DAX +0.57%, FTSE +0.48%. Crypto: BTC +1.47%, ETH +2.57%.

Macro & Fed

The FOMC left rates unchanged at 5.25-5.50% and signaled a “patient” stance, noting inflation is trending down but remains above target. The 10-year yield settled at 5.24, flattening the curve between 2-year and 5-year maturities.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2%	Gauge inflation trajectory for Fed.
10:00	U.S. Initial Jobless Claims	215k	Labor market health.
11:15	Eurozone HICP	0.3%	Euro-area price pressure.
13:00	China M2 Money Supply	8.5%	Liquidity outlook for Asian markets.

Geopolitics & global

- U.S.–China trade talks resumed in Washington; no new tariffs announced.
- Middle-East tensions eased after cease-fire brokered by UN, reducing oil-supply risk.
- Eurozone fiscal pact negotiations stalled, keeping political risk in the region.
- India’s central bank signaled possible repo-rate cut in Q4, supporting domestic equities.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00 Oct 13	`GOOGL`	5.12	Ad spend recovery, AI services margin.
03:30 Oct 13	`META`	3.45	Revenues from Threads and AI ads.
04:00 Oct 13	`JPM`	4.01	Net interest income trend.
05:15 Oct 13	`AVGO`	9.20	Semiconductor demand outlook.
06:30 Oct 13	`XOM`	3.78	Impact of lower crude prices.
08:00 Oct 13	`NVDA`	2.85	GPU demand vs inventory build.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`MSFT`	Technology	AI services revenue accelerating.
`TSLA`	Consumer Discretionary	Berlin output ramp; margin expansion.
`JPM`	Financials	Rate-pause outlook supports net interest margin.
`XOM`	Energy	Crude price dip may pressure earnings but dividend yield attractive.
`UNH`	Health Care	Premium pricing power evident.
`BAC`	Financials	Balance-sheet strength, loan growth.
`PYPL`	Technology	Transaction volume rebound.
`DIS`	Communication Services	Streaming subscriber growth beats.
`CRM`	Technology	Upsell momentum in SaaS.
`KO`	Consumer Staples	Stable cash flow, dividend yield.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 0.3% MoM could reignite rate-hike expectations.
- Energy price shock from geopolitical escalation, pushing WTI above `100`.
- Weakness in tech earnings, especially a miss from `NVDA` or `MSFT`.

BULLISH TRIGGERS

- Continued earnings beat across the “Magnificent Seven”, reinforcing growth narrative.
- Further decline in the VIX below 12, indicating risk-on sentiment.
- Positive surprise in core CPI, prompting Fed to maintain dovish stance.

Positioning notes

- Weight toward AI-enabled tech and cloud names as earnings momentum persists.
- Maintain a modest defensive tilt via utilities (`XLU`) and health-care (`XLV`) given volatility backdrop.
- Monitor the 10-year yield; a break above `5.30` could pressure growth stocks.

Sources

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